

ORIGINAL

(S E R V E D)
(March 1, 1999)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

March 1, 1999

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

PROCEDURAL ORDER ADOPTED ON REMAND
AS TO REPARATIONS

By its Report and Order served June 1, 1998,¹, the Commission remanded this proceeding to the undersigned with certain explanatory directions, as described more fully in the Request for Views as to Procedure on Remand, served June 3, 1998. Shortly thereafter, petitions for review of the Commission's June 1, 1998 Report and Order were filed in the U.S. Court of Appeals for the

¹*The Government of the Territory of Guam v Sea-Land Service, Inc* , 28 S.R.R. 252 (1998).

District of Columbia Circuit by the complainant Government of the Territory of Guam (“GovGuam”), respondent Sea-Land Service, Inc., and respondent American President Lines, Ltd. However, the Court dismissed for lack of administratively finality. (The dismissal became effective when the Court’s mandate issued on January 14, 1999.)

Complainants² and respondents jointly requested and were granted time for consultations in order to ascertain whether they could reach agreement on proposed stipulations and/or procedures to facilitate the expeditious conduct of the remand proceeding. See Orders of January 7 and 27, 1999. No such agreement was reached, however, and complainants and respondents submitted separate procedural proposals on February 4, 1999.³

The undersigned convened an informal prehearing conference on February 17, 1999, at which complainants and respondents further elaborated their views concerning the appropriate procedures to be followed. Upon consideration of the February 4, 1999 submissions, and in light of the discussion at the February 17, 1999 prehearing conference, respondents were directed to prepare a draft order and submit it to the complainants. The draft order has been reviewed by and agreed to by complainants and respondents.

IT IS ORDERED:

The following procedural schedule is hereby adopted:

²In addition to GovGuam, the complainants are Pacific International Company, Inc., Town House Department Stores, Inc. and Micronesian Brokers Incorporated (together with GovGuam, herein collectively referred to as “complainants”).

³On February 8, 1999, respondents filed a motion to strike specified portions of complainants’ February 4, 1999 proposal. On February 17, 1999, respondents withdrew the motion to strike (without prejudice to their position on the substantive matters addressed therein).

A. Resolution of Issues Concerning Discovery

Complainants take the position that they are entitled to “discovery of Respondents’ records on shipments for which reparations are claimed.” Complainants’ February 4, 1999 submission at p. 4. Respondents take the position that no such discovery is permissible at this stage of the proceeding. The following schedule is provided in order to resolve issues concerning discovery:

<u>Due Date</u>	<u>Subject Matter</u>
March 15, 1999	- Complainants’ discovery requests
March 29, 1999	- Respondents’ objections ⁴
April 19, 1999	- Complainants’ motion to compel
May 10, 1999	- Respondents’ opposition(s) to motion to compel
May 24, 1999	- Complainants’ reply to Respondents’ opposition(s)

B. Rule 252 Procedures

The basic procedure to be followed is set forth in Rule 252 of the Commission’s Rules of Practice and Procedure, 46 C.F.R. § 502.252.⁵ Based on that rule, as well as on the parties’

⁴To the extent respondents may not object to particular discovery requests, the responses will be due at the time provided by the Commission’s procedural rules

⁵Rule 252 provides: “When the Commission finds that reparation is due, but that the amount cannot be ascertained upon the record before it, the complainant shall immediately prepare a statement in accordance with the approved reparation statement in Exhibit No. 1 to this subpart, showing details of the shipments on which reparation is claimed. This statement shall not include any shipments not covered by the findings of the Commission. Complainant shall forward the statement, together with the paid freight bills on the shipments, or true copies thereof, to the respondent or other person who collected the charges for checking and certification as to accuracy. . . .”

February 4, 1999 submissions and the discussion at the February 17, 1999 prehearing conference the following schedule is established:

- | | | |
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| 45 days after resolution of discovery ⁶ | - | Complainants' submission of their entire evidentiary case on reparations, which shall include all data and documents required by Rule 252, as well as any other data, documents or evidence that Complainants may wish to include as part of their evidentiary case on reparations, including any documents or other evidence relied on by Complainants (i) to establish that a particular shipment is eligible for reparations in this proceeding, or (ii) to support the amount of reparations claimed, including any affidavits explaining or justifying the methodology used to calculate such amounts. |
| 45 days thereafter | - | Respondents' dispositive motion(s) directed to Complainants' evidentiary case, including motions to dismiss claims for reparations as to specific shipments on the ground such shipments are ineligible for reparations as a matter of law, and/or motions for summary judgment on the ground that Complainants' method of calculating the amount of reparations is erroneous as a matter of law. |
| 30 days thereafter | - | Complainants' opposition to Respondents' dispositive motion(s). |
| 15 days thereafter | - | Respondents' reply to Complainants' opposition. |

⁶I.e., 45 days after the later of (i) an order denying a motion to compel and/or (ii) the completion of responses to the extent that a motion to compel may be granted

45 days after rulings on
dispositive motions⁷

- Respondents' submission of their entire evidentiary cases on reparations (to the extent that Complainants' case survives the dispositive motions), which shall include all data, documents or other evidence (including affidavits) relied on by Respondents to rebut Complainants' evidence in whole or in part.

At any time during the above schedule, complainants and respondents are free (and are encouraged) to ascertain whether they can reach a settlement or stipulation that would terminate further remand proceedings. If no such settlement or stipulation is reached, a determination will be made upon completion of the above schedule as to the additional procedures (e.g., cross-examination, submission of proposed findings and legal argument, etc.) that may be necessary or appropriate to complete the remand proceeding.


Frederick M. Dolan, Jr.
Administrative Law Judge

⁷It is understood that respondents reserve the right to file motions requesting further procedures if respondents believe that complainants' evidentiary case (to the extent it survives the dispositive motions) raises issues as to facts that are not within respondents' knowledge. Any such motions, which complainants reserve the right to oppose, shall be filed no later than this date.